

What I Don't See Can't Hurt Me

We tend to believe that if we ignore unpleasant news, the problem will go away. That's what Beth fooled herself into believing. This strategy only works in the short run, as she soon discovered.

She fell behind on her bills shortly after she decided to live on her own for the first time at the age of twenty-two. Prior to that, her parents had paid her dorm and sorority housing expenses during college. Beth's first job out of college was a low paying entry-level position. She had a hard time finding another job that paid better since she didn't have any experience. Unfortunately for Beth, her company merged with a larger one about six months after she began working there. The most recently hired employees were laid off, including Beth.

After she lost her job, it took five months to find another one. She had fallen behind on her bills, and was trying to "catch up." Every day when the postman arrived, she separated the bills from the other mail. She couldn't bear to open the envelopes. She knew what she'd find—more late notices and demands to pay. Couldn't they just leave her alone? She'd pay them back as soon as she caught up.

Like Beth, when you fall behind on your debt payments, you will soon receive communication from the lender's collection department. When this happens, don't ignore the past-due notices or phone calls. If you do, your account may be turned over to an independent debt collector. Once that happens, the original creditor loses almost all control over what would be an acceptable payment plan to you. Collection agencies are usually more aggressive and less willing to compromise. In addition, since they frequently bring lawsuits against debtors to collect money and are more familiar with the legal system, they are probably more willing to go to court than the

